could reach Rs 1.25 lakh in the first half of 2026.

Silver has also staged a remarkable rally, with domestic prices climbing to Rs 1.38 lakh per kilogram on September 22, buoyed by global cues and rising local demand.

INDIA'S GRAND APPETITE

India is the world's second-largest consumer of gold after China, with annual demand of 700–800 tonnes. Nearly two-thirds is crafted into jewellery, while the rest is held in coins and bars. The country imports about 90 per cent of its requirement, mainly from Australia, Switzerland and the UK.

Silver's demand is even more substantial in tonnage—4,000 to 5,000 tonnes annually. Roughly three-quarters goes into jewellery, silverware and investment, while the rest powers industrial uses, from electronics to solar panels. India imports around 60 per cent of its silver, primarily from the UAE, the UK and China.

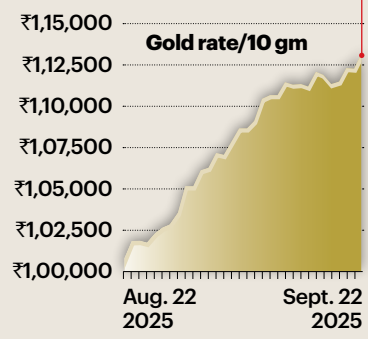
"The biggest reason for the rise in gold prices is the geopolitical tensions coupled with expectations of interest rate cuts in a few countries and the US tariff pressure," explains Bhargav Vaidya of bullion and financial consultancy BN Vaidya & Associates. "These have created a clear uncertainty in the stock markets, resulting in higher demand for gold as an investment option."

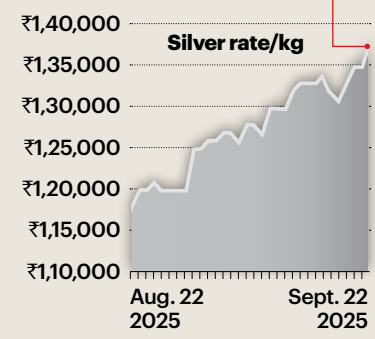
Yet soaring prices are dampening physical demand. Vaidya expects the volume of retail jewellery sales to fall by as much as 20 per cent this festive season compared to last year. In value terms, however, sales could remain steady or even grow. In 2024, too, the festive season gold demand dipped 5 per cent, but sales value rose by 31 per cent—all due to higher prices.

Silver, often overshadowed by gold, has gained fresh momentum thanks to its hybrid character. "Silver has a dual nature as both a precious and an industrial metal," notes Sugandha Sachdeva, founder of financial solutions provider SS WealthStreet. Beyond jewellery and investment, it is indispensable for solar panels, 5G networks and electronic devices. "This robust industrial demand, coupled with a silver market facing consistent deficits for the past four years—a trend projected to continue through 2025—creates a compelling supply-demand imbalance," she says.

SOARING HIGH

- Gold touched ₹1.13 lakh per 10 gm on Sept. 22. Some analysts predict it to reach Rs 1.25 lakh by mid-2026
- Silver has also staged a remarkable rally, with domestic prices climbing to ₹1.38 lakh per kg on September 22





Source: goodreturns.in; prices in Delhi

PUSH FACTORS

- Global uncertainty is pushing investors toward gold as a secure asset
- Central banks are steadily stockpiling gold to hedge against dollar volatility
- Silver's rally is underpinned by its dual role as a precious and an industrial metal

THE GLOBAL CONTEXT

Global investment flows are amplifying the rally. Gold ETFs (exchange-traded funds)—investment funds that buy physical gold and sell units on the stock exchange, enabling investors to trade them just like shares—have reportedly almost doubled their holdings in a year, and central banks are quietly stockpiling reserves. Gold has returned 50 per cent in rupee terms over the past year, far outpacing equities—the benchmark Sensex slipped 1.2 per cent in the same period.

According to the World Gold Council, central bank holdings rose from 26,000 tonnes in 2009 to 32,000 tonnes in 2024, with the top 10 banks—those of the US, Germany, Italy, France, Switzerland, Japan, Netherlands, China, Russia and India—holding three-quarters of the total. For many central banks, buying gold is a hedge against dollar volatility and a way to reduce reliance on the US currency.

The RBI's preference for keeping more gold in its foreign exchange reserves was evident from data released in early September, showing holdings at 879.98 tonnes on June 27, 2025, up from 840.76 tonnes a year earlier. Gold now accounts for 13 per cent of its $711 billion (Rs 62.6 lakh crore) reserves, up from less than 10 per cent earlier.

Despite some profit-booking—selling an investment to lock in the gains—after mid-September's record highs, analysts expect precious metals to remain resilient. "Losses were limited amidst weak US jobs data, rate cut expectations and rupee depreciation," observes Manav Modi, a precious metals analyst with Motilal Oswal Financial Services. He adds that geopolitical flashpoints in West Asia and eastern Europe continue to provide a "risk premium" for gold. For investors and consumers alike, the message is clear: volatility in global politics and economics will keep the shine on precious metals for some time to come. ■